Chapter Twenty-Nine

State of Currency and Money

Aggregate of Currency Supply and Bank Deposits is ‘Money’

Economic agents, whether producers or consumers, hold currency to undertake transactions, make payments and transfers, and to retain for future purchasing power. They can also keep currency with banks as deposits to be withdrawn and used when needed. The central bank issues currency and usually manages its circulation through banks. All the currency with the public and banks, all deposits held with the banks and bankers’ deposits with the RBI, together, constitute the stock of money.

There are three levels of the stock of money.

First, paper currency held by people (including all non-monetary or non-banking institutions, whether individuals, unincorporated firms or companies); if currency held by the banks on their account is added to this (not counting the currency owned by RBI held in the chest-branches of some agency banks), it is called the currency in circulation.

Second, the central bank or the monetary authority is liable to provide currency to banks and other institutions that hold deposits. The currency held by people and banks (i.e., currency in circulation plus the deposits of banks with the central bank, usually called reserve money) becomes the second level of stock of money.

Third, currency in circulation and all deposits held by people in banks together is the total stock of money. This is the broadest measure of the stock of money.

The stock of money is distinguished in terms of its ‘moneyness’—the ability to be used for payments instantaneously. Currency or paper notes